

BBA (DA&AI;) / AT / E&I;

Semester V – Taxation

UNIT I: Introduction to Income Tax & Residential Status

These notes are prepared from the uploaded syllabus. Unit I covers Introduction to Taxation, Basic Concepts, Residential Status and Scope of Total Income. The syllabus specifically allocates 12 lectures to this unit.

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Note: The syllabus document uses the Income-tax Act, 1961 terminology (Previous Year/Assessment Year). From 1 April 2026, the Income-tax Act, 2025 applies to tax years beginning on or after that date and uses the term "Tax Year". Earlier tax years continue under the 1961 Act. For classroom/exam answers, follow the terminology prescribed by your university/teacher; the current-law distinction is noted here for accuracy.

1. Meaning of Taxation

Definition: Taxation is the system under which a government imposes compulsory financial charges on individuals, businesses and other persons to raise revenue and achieve economic and social objectives.

A **tax** is a compulsory payment imposed by the government under law. It is not normally a payment made in exchange for a specific direct service to the taxpayer.

2. Objectives of Taxation

- **Revenue generation:** To finance public expenditure such as education, healthcare, infrastructure, defence and administration.
- **Economic regulation:** To influence consumption, investment and business activity.
- **Redistribution of income:** To support a more equitable distribution of economic resources.
- **Promotion of social objectives:** Tax policy can discourage harmful consumption and encourage selected activities.
- **Economic stability:** Taxation can form part of fiscal policy used to manage economic conditions.

3. Direct and Indirect Taxes

Direct Tax: A tax imposed directly on the income, profits or wealth of a taxpayer, where the legal incidence and economic burden are generally intended to fall on the same taxpayer. Income tax is a major example.

Indirect Tax: A tax imposed on transactions, goods or services where the tax burden can generally be passed on to another person, commonly through prices. GST is a major example.

Basis	Direct Tax	Indirect Tax
Incidence	Generally borne by the taxpayer on whom it is imposed.	Generally collected by a supplier and passed through the supply chain.
Examples	Income tax.	GST; customs duties.
Relation to income	Often linked directly to income/profits.	Usually linked to supply/consumption/transactions.

4. Importance of Taxation

- Provides funds for government expenditure.
- Supports infrastructure and public services.
- Helps implement fiscal and economic policy.
- Can influence investment and consumption decisions.
- Supports social and developmental programmes.
- Creates a framework for financing government functions.

5. Overview of the Indian Taxation System

The Indian taxation system includes both direct and indirect taxes administered under central and state/other governmental frameworks.

Direct taxation: Income-tax is the principal central direct tax on income.

Indirect taxation: GST is the major domestic indirect tax on supplies of goods and services, while customs duties apply to specified imports/exports under the customs framework.

The syllabus later covers GST separately in Unit V; therefore, this unit focuses on the introductory framework of income taxation. ■filecite■turn0file0■L169-L183■

6. Basic Framework of Income Tax

Income tax is a tax on taxable income determined under the applicable income-tax law. The taxable amount depends on the taxpayer's status, nature/source of income, applicable exemptions and deductions, and the rules applicable for the relevant tax year.

For Tax Year 2026–27 onward, the Income-tax Act, 2025 uses the term **Tax Year** instead of Previous Year and has discontinued the Assessment Year terminology. The official Income Tax Department states that the Tax Year corresponds to the financial year in which income is earned. ■cite■turn0search1■

7. Previous Year and Assessment Year – Syllabus Terminology

Previous Year (PY): The financial year in which income is earned. For example, income earned during 1 April 2025 to 31 March 2026 belongs to PY 2025–26.

Assessment Year (AY): The year immediately following the previous year in which the income of the previous year was assessed under the Income-tax Act, 1961.

Example: Income earned in PY 2025–26 was assessed in AY 2026–27.

Note: For income earned from 1 April 2026 onward, the new Act uses “Tax Year 2026–27” rather than the old PY/AY pair. Earlier years remain governed by the old Act. ■cite■turn0search1■turn0search2■

8. Person

Definition: In income-tax law, “person” is a broad legal term used to identify an entity that can be subject to tax or other proceedings.

It includes categories such as an individual, Hindu Undivided Family (HUF), company, firm, association of persons/body of individuals, local authority and artificial juridical person, subject to the applicable law.

Thus, “person” does not mean only a human being.

9. Assessee

Definition: An assessee is a person in respect of whom income-tax or any other sum is payable under the applicable income-tax law, and the term also includes persons covered by specified statutory situations such as deemed assessee or assessee in default.

In simple terms, an assessee is a person who is subject to a tax-related obligation or proceeding under the law.

10. Income

Meaning: Income is a broad statutory concept covering receipts, earnings, profits and gains that are taxable under the applicable income-tax law.

Income may arise from sources such as salary, house property, business/profession, capital gains and other sources. The syllabus covers these major heads in Units II and III. ■filecite■turn0file0■L137-L155■

For tax purposes, an item being a receipt does not automatically mean that it is taxable; its taxability depends on the applicable legal provisions.

11. Gross Total Income (GTI)

Definition: Gross Total Income is the aggregate income computed under the applicable heads of income after applying the relevant provisions for inter-source/inter-head adjustment of losses, but before deductions under Chapter VI-A, where applicable.

Broad formula: GTI = Aggregate of taxable income under the applicable heads after permissible loss adjustments.

12. Total Income

Definition: Total Income is the income on which tax is ultimately computed after making the deductions permitted from Gross Total Income under the applicable provisions.

Basic formula: Total Income = Gross Total Income – Eligible deductions

The syllabus specifically includes Gross Total Income, Total Income and deductions in Unit IV.

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13. Agricultural Income

Definition: Agricultural income generally refers to specified income derived from agricultural land and agricultural operations as defined under income-tax law.

Agricultural income is generally exempt from central income tax under the applicable provisions, although in specified cases it may be considered for rate purposes through the concept of partial integration. Students should distinguish **exempt income** from income that is simply not received in cash.

Examples can include qualifying agricultural rent/revenue, income from agricultural operations and specified income from qualifying farm buildings, subject to legal conditions.

14. Capital Receipt and Revenue Receipt

Capital Receipt: A receipt connected with the capital structure or long-term financing/assets of a business or person, rather than ordinary operating activities. Its tax treatment depends on the specific provision of law.

Revenue Receipt: A receipt arising in the ordinary course of operations or from recurring income-generating activities, such as sales or service revenue.

Important: **Capital receipt does not automatically mean non-taxable**; specific provisions may make a capital receipt taxable. Similarly, the taxability of a revenue receipt depends on the applicable law.

15. Exempt Income

Definition: Exempt income is income that is excluded from total income under a specific statutory provision, subject to its conditions.

Example: qualifying agricultural income is generally exempt under the relevant provisions.

Students should not confuse **exempt income** with **deduction**: an exemption keeps specified income outside taxable total income, while a deduction is generally reduced from Gross Total Income after the relevant computation.

16. Permanent Account Number (PAN)

Definition: PAN is a unique alphanumeric identification number issued by the Income Tax Department for tax-related identification and compliance.

PAN is widely used in income-tax returns, specified financial transactions, tax correspondence and other prescribed compliance activities.

17. Residential Status – Meaning

Definition: Residential status is the classification of an individual for income-tax purposes based mainly on the person's physical stay in India during the relevant period and, for certain categories, specified additional conditions.

Residential status is important because it determines the **scope of income chargeable to tax in India**. The syllabus specifically requires Resident and Ordinarily Resident (ROR), Resident but Not Ordinarily Resident (RNOR), Non-Resident

(NR), and taxability of Indian and foreign income. ■filecite■turn0file0■L129-L135■

18. Residential Status of an Individual – Basic Tests

For the current rules under the Income-tax Act, 2025, the Income Tax Department confirms that the basic residence tests have not changed: an individual is resident if either of the following is satisfied:

- **Test 1:** Stay in India for **182 days or more** during the relevant tax year; OR
- **Test 2:** Stay in India for **60 days or more** during the relevant tax year AND **365 days or more** during the four preceding years.

If neither basic condition is satisfied, the individual is generally **Non-Resident (NR)**.

For tax years beginning before 1 April 2026, the corresponding rules continue under section 6 of the Income-tax Act, 1961. ■cite■turn0search0■turn0search2■

19. Special Rules for Certain Indian Citizens / Persons of Indian Origin

The 60-day test has important exceptions. These should be checked before applying the ordinary 60-day + 365-day test.

- An Indian citizen leaving India as a member of the crew of an Indian ship or for employment outside India is subject to a special day-count rule.
- For an Indian citizen or person of Indian origin visiting India, the 60-day threshold can be replaced by a higher threshold under specified conditions.
- Where an Indian citizen/person of Indian origin has total income (other than income from foreign sources) exceeding ■15 lakh, the 120-day rule can become relevant under specified conditions.
- A special deemed-resident rule applies to an Indian citizen with income above ■15 lakh (excluding income from foreign sources) who is not liable to tax in any other country because of residence or domicile rules.

The Income Tax Department confirms the 120-day and deemed-resident provisions and states that the corresponding provisions continue under the new Act for tax years beginning on or after 1 April 2026. ■cite■turn0search0■turn0search3■

20. Resident and Ordinarily Resident (ROR)

Meaning: An individual who is resident in India and satisfies the additional conditions for ordinary residence is classified as Resident and Ordinarily Resident.

For the standard individual classification, an individual is ordinarily resident when the prescribed historical residence conditions are satisfied. Under the current law, the Income Tax Department states the NOR tests as: non-resident in 9 out of the 10 preceding years OR stay in India for 729 days or less in the preceding 7 years. If neither NOR condition applies to a resident individual, the person is ROR. ■cite■turn0search2■

21. Resident but Not Ordinarily Resident (RNOR)

Meaning: RNOR is a resident category for an individual who does not satisfy the conditions for ordinary residence.

The current official guidance states that an individual is RNOR if he/she was non-resident in 9 out of the 10 preceding years or stayed in India for 729 days or less in the preceding 7 years. ■cite■turn0search2■

RNOR is important because its scope of taxable foreign income is narrower than that of an ROR.

22. Non-Resident (NR)

Meaning: An individual who does not satisfy the applicable basic residence conditions is treated as a Non-Resident.

A non-resident is generally taxable in India on income received/accruing/arising in India or deemed to be received/accruing/arising in India, subject to the applicable provisions and tax treaties.

23. Residential Status Decision Flow

Step 1: Count the individual's stay in India during the relevant year.

Step 2: Check the 182-day test.

Step 3: If not satisfied, check the 60-day + 365-day test, after considering any special exception.

Step 4: If neither test is satisfied → NR.

Step 5: If resident → check the additional conditions to determine ROR or RNOR.

Step 6: Apply the relevant scope-of-income rules.

24. Scope of Total Income According to Residential Status

Status	Broad taxability in India
ROR	Generally worldwide income is included, subject to the applicable law and relief provisions.
RNOR	Indian income is taxable; specified foreign income is also taxable where it is derived from a business controlled in India or a profession set up in India. Other foreign income is generally outside the Indian tax net, subject to applicable provisions.
NR	Generally income received/accruing/arising in India or deemed to be so is taxable, subject to applicable provisions and treaty relief.

This table is a conceptual exam summary; actual taxability depends on the precise charging, source, receipt and treaty provisions applicable to the case.

25. Worked Numerical Problems – Residential Status

Numerical 1 – 182-Day Test

Question: Rahul stayed in India for 190 days during the relevant year. Determine whether he is resident or non-resident, assuming no special exception affects the calculation.

Solution: Stay in India = 190 days. Since $190 \geq 182$, the first basic condition is satisfied.

Answer: Rahul is Resident in India.

Numerical 2 – 60 + 365 Test

Question: Priya stayed in India for 75 days during the relevant year. During the preceding four years, she stayed in India for 400 days. Determine her status, assuming the normal test applies.

Solution: Current-year stay = 75 days $\geq$ 60 days. Preceding four-year stay = 400 days $\geq$ 365 days. Both conditions are satisfied.

Answer: Priya is Resident in India.

Numerical 3 – Non-Resident

Question: Aman stayed in India for 50 days during the relevant year and 300 days during the preceding four years. Determine his status, assuming the normal test applies.

Solution: $50 < 182$, so Test 1 fails. Also, $50 < 60$, so Test 2 fails. Therefore, he does not satisfy either basic condition.

Answer: Aman is Non-Resident.

Numerical 4 – ROR/RNOR

Question: Neha is resident in India. She was non-resident in 8 of the 10 preceding years and stayed in India for 800 days during the preceding 7 years. Determine whether she is ROR or RNOR.

Solution: She was non-resident in only 8 of the preceding 10 years, so the first NOR condition is not satisfied. Her stay during the preceding 7 years is 800 days, which is more than 729 days, so the second NOR condition is also not satisfied.

Answer: Neha is Resident and Ordinarily Resident (ROR).

Numerical 5 – RNOR

Question: Arjun is resident in India. He was non-resident in 9 of the 10 preceding years. Determine his status.

Solution: One of the NOR conditions is satisfied because he was non-resident in 9 of the 10 preceding years.

Answer: Arjun is RNOR.

Numerical 6 – 120-Day Rule Awareness

Question: An Indian citizen/person of Indian origin visits India for 130 days during the relevant year and has total income (other than income from foreign sources) above ₹15 lakh. The ordinary 60-day test would otherwise apply. What special issue must be examined?

Solution: The 120-day special rule must be examined before applying the ordinary 60-day test. If the statutory conditions are satisfied, 130 days may make the person resident under the applicable rule, subject to the other residence conditions.

Exam point: Do not mechanically apply 60 days to every individual. First check whether a special rule applies.

26. Exam-Oriented Theory Questions

- Define taxation. Explain its objectives and importance.
- Distinguish between direct and indirect taxes with examples.
- Explain the basic framework of the Indian income-tax system.
- Define Previous Year and Assessment Year with an example.
- Explain the terms Person and Assessee under income-tax law.
- Define Income, Gross Total Income and Total Income.
- Explain agricultural income and exempt income.
- Distinguish between capital receipts and revenue receipts.
- What is PAN? Explain its importance.
- What is residential status? Why is it important for income-tax purposes?
- Explain the basic conditions for determining residential status of an individual.
- Explain ROR, RNOR and NR.
- Explain the special residential-status rules applicable to certain Indian citizens/PIOs.
- Explain the scope of total income for ROR, RNOR and NR.

27. Short Answer / 2–3 Mark Questions

- What is a tax?
- What is direct tax?
- What is indirect tax?
- Define Previous Year.
- Define Assessment Year.
- What is a person under income-tax law?
- Who is an assessee?
- What is Gross Total Income?
- What is Total Income?
- What is exempt income?
- What is PAN?
- What is residential status?
- State the 182-day test.
- State the 60 days + 365 days test.
- What is ROR?
- What is RNOR?

- What is NR?

28. Quick Revision Chart

Taxation → Compulsory levy → Government revenue + economic/social objectives

Income-tax → Direct tax on taxable income under applicable law

Residential Status → Determines scope of taxable income

Basic Resident Test → 182 days OR 60 days + 365 days, subject to special rules

Resident → Check ROR/RNOR

NR → Generally Indian-source/Indian-received income is taxable

GTI → Income under heads after applicable loss adjustments, before eligible deductions

Total Income → GTI less eligible deductions

PAN → Permanent Account Number for tax identification/compliance

29. Student Exam Tips

- Always write the definition first in a theory answer.
- For residential-status numericals, write the number of days under each test separately.
- Do not jump directly to ROR/RNOR; first establish whether the person is Resident or NR.
- Check special rules before applying the normal 60-day test.
- In scope-of-income questions, clearly distinguish ROR, RNOR and NR.
- Use headings, formulas, conditions and a final clear conclusion in numerical answers.

Source basis: The Unit I topics and terminology in these notes follow the uploaded BBA(DA&AI)/AT/E&I; Taxation syllabus, which lists Introduction to Taxation, Basic Concepts, Residential Status and Scope of Total Income as Unit I. ■filecite■turn0file0■L129-L135■ Current-law notes on the 2026 transition and residential-status rules were cross-checked against official Income Tax Department guidance. ■cite■turn0search0■turn0search1■turn0search2■